

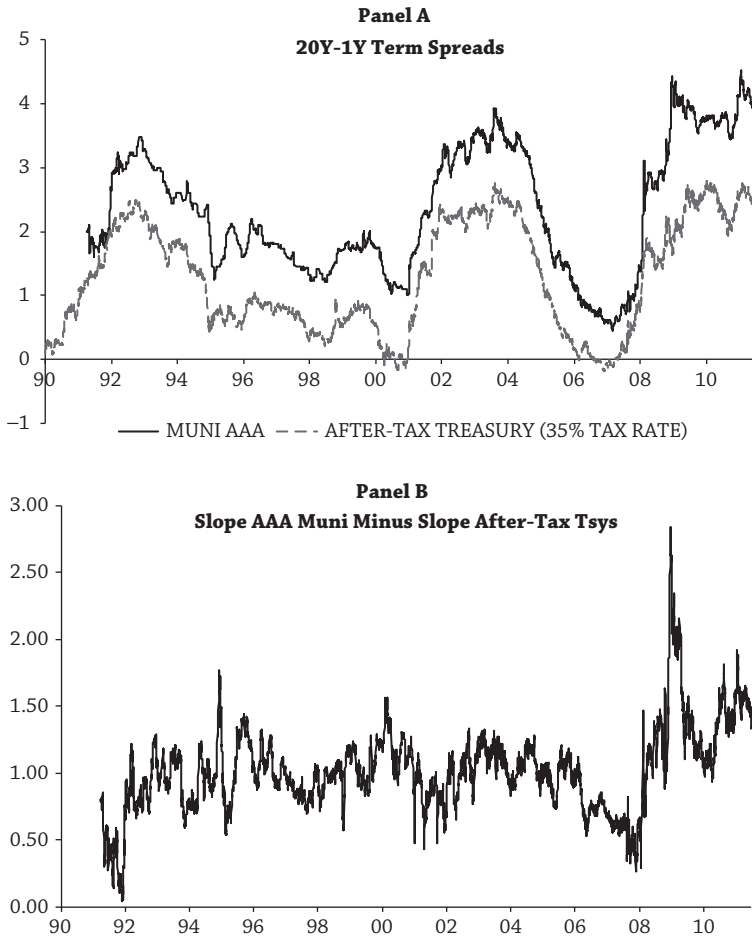


Figure 12.3

picture reminds you of volatility risk, you are spot on. As volatility spiked, the MOB trade suffered, along with other carry trade and risky asset strategies (see chapter 7). Many muni bond funds, some of which were very highly levered, took severe losses in 2007 and 2008 on the MOB trade.

3.4. CREDIT RISK

On December 19, 2010, Meredith Whitney, a noted banking analyst and CEO of Meredith Whitney Advisory Group LLC, appeared on *60 Minutes* and predicted “hundreds of billions” in losses from municipal bond defaults starting in 2011. Her comments drew a lot of attention. But we have yet to see the tidal wave of defaults in munis. Whitney may be early, but she raises a provocative point. Given